



PART BY PART

● The Electronics Component Manufacturing Scheme projects represent ₹54,567 crore investment

States	Electronics Manufacturing Clusters
Tamil Nadu	11
Karnataka	9
Maharashtra	7
Andhra Pradesh	5
Uttar Pradesh	4
Haryana	3
Madhya Pradesh	3
Jammu & Kashmir	1
Rajasthan	1
Gujarat	1
Goa	1

SOURCE PIB, MINISTRY OF ELECTRONICS & IT

Yet the next challenge is competitiveness. Mohindroo believes India can become as competitive as Vietnam, or even more, by around 2030. China, however, remains a much tougher benchmark. Higher interest costs, industrial land costs and the sheer depth of China's domestic supply chain—from rare earths and materials to semiconductors and finished products—continue to work against India.

"China is far more efficient," he says, arguing that India still has to overcome a 3–5% point interest-cost disadvantage and other constraints.

The answer, however, may not be to move away from assembly too quickly. Mohindroo argues that India's labour-cost advantage should be exploited to build scale across final products, while components

and sub-assemblies expand alongside them. In his view, the two need to grow together.

This differs from the conventional narrative of moving from assembly to higher-value activities. Agarwal argues that India's next phase must also involve greater ownership of product design, R&D and intellectual property. "India's evolution into a global electronics hub hinges on where value is created," he says. "While manufacturing drives jobs, creating a lasting leadership requires owning product design and intellectual property."

That makes the next decade less about replacing assembly and more about building layers around it. India needs global electronics companies to manufacture and export from the country, domestic suppli-

ers to deepen the component base, semiconductor plants to provide the foundation, and eventually Indian companies to develop globally competitive products and brands.

The ambition is considerable. Agarwal sees the potential for a \$500-billion electronics industry by 2030, with exports exceeding \$200 billion and domestic value addition crossing 30%. Mohindroo is even more bullish over the longer term, envisaging an \$800-billion to \$1-trillion industry by 2035.

For now, India's electronics success has largely been measured by what comes out of its factories. The next phase will be determined by what goes into them, and how much of that value India can make. **BT**

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